16. Manju, Charu and Lavanya are partners in a firm sharing profits and losses in the ratio of 5:3:2. Their balance sheet as on 31st March, 2018 is as follows:

Liabilities	₹	₹	Assets	₹
Capital accounts:			Buildings	1,00,000
Manju	70,000		Furniture	80,000
Charu	70,000		Stock	60,000
Lavanya	70,000	2,10,000	Debtors	40,000
Sundry creditors		40,000	Cash in hand	20,000
Profit and loss A/c		50,000		
		3,00,000		3,00,000

Manju retired from the partnership firm on 31.03.2018 subject to the following adjustments:

(i) Stock to be depreciated by ₹ 10,000

(ii) Provision for doubtful debts to be created for ₹ 3,000.

(iii) Buildings to be appreciated by ₹ 28,000

Prepare revaluation account and capital accounts of partners after retirement.

(Answer: Revaluation profit: ₹15, 000; Manju's loan account: ₹1,02,500(Cr.), Capital account: Charu: ₹89,500(Cr.); Lavanya: ₹ 83,000(Cr.))

Comprehensive problems

17. Kannan, Rahim and John are partners in a firm sharing profit and losses in the ratio of 5:3:2. The balance sheet as on 31st December, 2017 was as follows:

Liabilities	₹	₹	Assets	₹
Capital accounts:			Buildings	90,000
Kannan	1,00,000		Machinery	60,000
Rahim	80,000		Debtors	30,000
John	40,000	2,20,000	Stock	20,000
Workmen compensation			Cash at bank	50,000
fund		30,000	Profit and loss A/c (loss)	20,000
Creditors		20,000		
		2.70,000		2,70,000

John retires on 1st January 2018, subject to following conditions:

(i) To appreciate building by 10%

(ii) Stock to be depreciated by 5%.

(iii) To provide ₹1,000 for bad debts

(iv) An unrecorded liability of ₹8,000 have been noticed.

(v) The retiring partner shall be paid immediately.

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